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KSE-100 V

176,976

▼ 0.41% Mon ·
-721 pts

S&P 500 V

▼ **0.33%**

Nasdaq -0.12% ·
Dow -0.7%

US 10Y / 2Y V

4.72 / 4.33

Sept hike odds
~60-64%

BRENT / WTI V

\$90.7 / \$85.6

+~3% · Hormuz
strikes

GOLD V

\$4,451

-1.1% · silver
\$67.11

USD/PKR V

277.60

interbank · steady
since Aug 19

01 Five Things You Need To Know To Start Your Day

KSE-100 SHEDS 721 POINTS, RETREATS BELOW 177,000

The benchmark closed Monday at **176,975.68**, down 720.83 points (0.41%) from Friday's 177,696.51, after swinging between a midday recovery toward 178,000 and a fresh afternoon selloff. Ready-market volume jumped 42% to **931.7-937.2 million shares worth Rs39.1bn** (from 658.3 million/Rs31.45bn Friday), with breadth negative at 169 advancers vs 302 decliners of 503 traded (32 unchanged). Cnergyico PK (173.6m shares), Bank of Punjab (61.6m) and TPL Properties Mod (50.0m) led turnover; refiners bucked the selloff on anticipated upgradation-policy news — Attock Refinery (+8.44%) and Cnergyico PK (+7.31%) rallied while National Refinery and Pakistan Refinery hit upper circuits, adding a combined 408 points alongside OGDC, Fauji Fertiliser and Meezan Bank. Losses were led by UBL, Systems Ltd, HBL, Lucky Cement and Pakistan Petroleum, which erased 755 points as autos, cement, banks, E&P, OMCs and power-generation names sold off on oil-driven inflation worries. Sources: [Business Recorder](#), [Dawn](#). Sentiment: **risk-off, breadth deteriorating**.

US STRIKES IRANIAN ISLAND, TEHRAN HITS BACK AT JORDAN AND UAE

US forces struck Iranian rocket launchers on **Larak Island** in the Strait of Hormuz on Sunday after detecting IRGC preparations to fire sea mines into the strait; Iran retaliated Monday with missile and drone strikes on the US-linked King Hussein and Al Azraq air bases in Jordan (eight missiles intercepted) and a reported strike attempt near Dubai's Al Minhad Air Base, which the UAE denied was hit while confirming it downed an Iranian drone over its waters. The escalation — the first major exchange in over a month in a conflict now past its sixth month — sent Brent and WTI up roughly 3% and rattled equities even as Wall Street still closed out August with monthly gains. Sources: [The Hill](#), [Washington Times](#). Sentiment: **escalating, oil-supply risk elevated**.

WALL STREET DIPS ON RENEWED IRAN RISK, BUT AUGUST STILL POSITIVE

The **S&P 500** fell 0.33% to 7,686.14, the **Dow** lost 374.09 points (0.7%) to 53,185.90 and the **Nasdaq** slipped 0.12% to 26,370.89 as the Iran flare-up compounded a hawkish carry-over from Fed Chair Kevin Warsh's Jackson Hole remarks; all three indices nonetheless closed a fifth straight winning month. CME-tracked odds of a September rate hike held elevated near 60-64%, up from roughly 35% before Warsh's speech, as the 10-year Treasury yield touched 4.75% intraday (highest since January 2025) before easing to ~4.72%, with the 2-year near 4.33-4.35%. Sources: [CNBC](#), [Bloomberg](#). Sentiment: **hawkish, rate-hike bets firming**.

GOLD SLIPS NEAR TWO-WEEK LOW AS HIKE BETS OUTWEIGH HAVEN BID; SILVER FIRMS

Spot/futures gold settled around **\$4,451–4,482/oz**, down roughly 1–1.1% on the day, as traders judged that Fed rate-hike odds — not Middle East risk — would dominate positioning, pushing the metal to a near two-week low despite the Iran escalation. Silver bucked the move, rising about 1.1% to **\$67.11** (from \$66.39 Friday) on industrial and haven crosscurrents. Sources: [CNBC](#), [Trading Economics](#). Sentiment: **soft on rates, silver resilient**.

GCC: NON-OIL PMI MOMENTUM UNEVEN, OPEC+ OUTPUT PATH STEADY POST-UAE EXIT

Saudi Arabia's Riyadh Bank non-oil PMI held a fourth straight month of expansion at **53.1 in July** (from 53.3 in June), while the UAE's non-oil PMI has cooled sharply to 50.8 in June (from 52.6 in May), its weakest in over five years, with August prints not yet published. The seven-member OPEC+ group (Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria, Oman) continues its gradual unwind of 2023's voluntary cuts via successive ~188,000 bpd monthly hikes, operating without the UAE for the first time since the country's 1 May exit amid a long-running quota dispute; the renewed Hormuz-adjacent strikes on UAE territory Monday add a fresh geopolitical risk premium to Gulf oil and shipping flows. Sources: [Business Recorder](#), [CNBC](#). Sentiment: mixed, geopolitical overhang rising.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

The KSE-100 shed 720.83 points (0.41%) to close at **176,975.68** on Monday, reversing part of Friday's gain, on ready-market volume of 931.7–937.2 million shares worth Rs39.1bn — up 42% on the day — with breadth negative (169 advancers vs 302 decliners of 503 traded). Selling hit autos, cement, banks, E&P, OMCs and power generation on oil-driven inflation fears tied to the US-Iran flare-up, while refiners rallied on anticipated upgradation-policy news, with Attock Refinery (+8.44%) and Cnergyico PK (+7.31%) leading gainers. The SBP held its policy rate at **11.5%** for a second straight meeting on 27 July (next MPC due 14 September), while brokerages project August CPI accelerating sharply to roughly **10.75–11.4% y/y** (from 9.2% in July) on food, transport and fuel costs — a trend likely to keep the SBP on hold. Six-month [KIBOR](#) stood near 11.80% as of 27 August, and USD/PKR interbank held steady around **277.60**, essentially unchanged since 19 August. Pakistan and the IMF are set to open the **4th EFF and 3rd RSF reviews in September** (roughly \$1.2bn combined disbursement in view), with the government's Sovereign Wealth Fund (Amendment) Bill 2026 — tightening SWF governance and disclosure — now before the Senate Standing Committee on Finance as part of the programme's governance conditionality. Sources: [Business Recorder](#), [Dawn](#).

B. GCC & Middle East

Brent jumped roughly 3% to near **\$90.7/bbl** and WTI to ~\$85.6/bbl after US forces struck Iranian rocket launchers on Larak Island in the Strait of Hormuz and Iran retaliated with strikes on Jordan's King Hussein and Al Azraq air bases and a reported (UAE-denied) attempt near Dubai's Al Minhad Air Base — the first major exchange in over a month in a conflict now in its seventh month. The UAE said it intercepted an Iranian drone over its territorial waters, underscoring the direct exposure Gulf states now carry after the UAE's 1 May exit from OPEC and OPEC+, which continue their seven-member (Saudi, Russia, Iraq, Kuwait, Kazakhstan, Algeria, Oman) unwind of 2023's output cuts via ~188,000 bpd monthly increases. Non-oil momentum diverged: **Saudi Arabia's PMI held at 53.1 in July** (fourth straight expansionary month) while the UAE's non-oil PMI has slumped to 50.8 in June, its weakest in five-plus years, as war-adjacent disruption weighs on regional sentiment ahead of August prints due in early September.

C. Global Intelligence

Wall Street opened the week lower after the Iran escalation compounded a hawkish carry-over from Fed Chair Kevin Warsh's Jackson Hole remarks: the S&P 500 fell 0.33% to **7,686.14**, the Dow dropped 374.09 points (0.7%) to 53,185.90 and the Nasdaq eased 0.12% to 26,370.89, though all three still closed a fifth consecutive winning month. CME-tracked odds of a September rate hike held near 60–64%, versus roughly 35% before Warsh's speech, with the 10-year Treasury yield touching 4.75% intraday — its highest since January 2025 — before easing to ~4.72%, and the 2-year near 4.33–4.35%. Gold slipped roughly 1–1.1% to a near two-week low around \$4,451–4,482/oz as rate-hike positioning outweighed the usual haven bid, while silver rose about 1.1% to \$67.11. Separately, Washington's Section 122 tariff mechanism — the 15% global tariff regime rebuilt after February's Supreme Court IEEPA ruling — remains on its 150-day clock, with a fresh cliff-edge due around Q4 2026 that export-dependent economies, including Pakistan's textile sector, continue to watch. Sources: [CNBC](#), [Bloomberg](#).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Pakistan Sovereign Wealth Fund (Amendment) Bill, 2026 , now before the Senate Standing Committee on Finance, tightens SWF governance, disclosure and competitive-procurement rules ahead of September's IMF EFF/RSF reviews.	State-owned enterprises, SWF-held assets, IMF programme compliance	Wins: IMF governance conditionality advanced; investors seeking transparent SOE divestment processes. Losses: SWF-held entities lose discretion in asset transactions; slower deal execution during committee review.
Regional — GCC	Seven-nation OPEC+ continues its ~188,000 bpd monthly output unwind without the UAE, even as renewed Iran-linked strikes reach UAE and Jordanian territory.	Oil & gas majors, Gulf shipping/logistics, non-oil private sector	Wins: Remaining OPEC+ members retain coordinated output control; Saudi Arabia's diversified non-oil sector stays comparatively insulated. Losses: UAE bears direct military and economic exposure outside the group's coordination; Gulf shipping and insurance costs rise on Hormuz risk.
Global	Washington's Section 122 tariff mechanism (15% global tariff, 150-day clock after February's Supreme Court IEEPA ruling) runs alongside a hawkish Fed tilt toward a likely September hike.	US importers/consumers, export-dependent economies (Pakistan textiles, GCC re-exporters), rate-sensitive assets	Wins: Congress retains a check on unilateral tariff authority pending Section 122's expiry debate. Losses: Importers face a renewed 15% levy burden; exporters face a Q4 2026 cliff-edge, and risk assets face tighter financial conditions if the Fed hikes in September.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

176,300

first floor near recent consolidation; deeper support at 175,000

PIVOT EST.

176,976

Monday's close

RESISTANCE EST.

178,000

Monday's intraday recovery high; then Friday's 178,050 high

We read Monday's 0.41% KSE-100 decline as a headline-driven pullback rather than a trend break — volume rose 42% and breadth turned firmly negative, but the intraday round-trip toward 178,000 before the afternoon selloff shows two-way flow rather than capitulation, with refiners (Attock, Energyico, National, Pakistan Refinery) bid on policy optimism even as banks and cement led losses. The core risk is imported: renewed US-Iran strikes on Jordanian and UAE oil push Brent toward \$91 and directly threaten Pakistan's import bill and CPI trajectory just as brokerages flag August inflation snapping back above 10% y/y, complicating the SBP's hold-steady stance into the 14 September MPC. Globally, a hawkish Fed (September hike odds near 60–64%) and firmer Treasury yields argue for a **defensive tilt toward refiners, fertiliser and IMF-programme beneficiaries** while staying alert to further Hormuz-adjacent escalation and its pass-through to local fuel and inflation prints. All levels are indicative desk estimates, not recommendations.

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